

Boliden AB (publ)

Recommendation **SELL** ★ ★ ★ ★ ★

Price **SEK 307.95** [as of market close Oct 13, 2023] **12-Mo. Target Price** **SEK 285.00** **Report Currency** **SEK** **Investment Style** **Mid-Cap Value**

Equity Analyst **Wan Nurhayati, CFA**

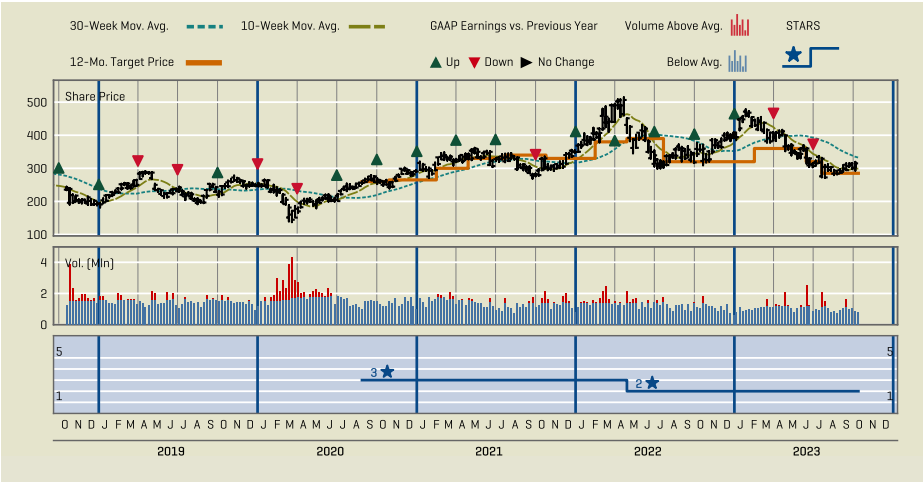
GICS Sector Materials
Sub-Industry Diversified Metals and Mining

Summary Boliden is a mining company that operates mines and smelters in Sweden, Ireland, Finland, and Norway.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	SEK 478.65 - 271.45	Oper.EPS2023E	SEK 27.50	Market Capitalization[B]	SEK 84.23	Beta	1.27
Trailing 12-Month EPS	SEK 30.51	Oper.EPS2024E	SEK 31.00	Yield [%]	4.87	3-yr Proj. EPS CAGR[%]	NM
Trailing 12-Month P/E	10.09	P/E on Oper.EPS2023E	11.20	Dividend Rate/Share	SEK 15.0	SPGMI's Quality Ranking	B+
SEK 10K Invested 5 Yrs Ago	16,436.0	Common Shares Outstg.[M]	274.00	Trailing 12-Month Dividend	SEK 26.5	Institutional Ownership [%]	70.0

Price Performance



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Wan Nurhayati, CFA** on Jul 21, 2023 06:23 AM ET, when the stock traded at **SEK 285.90**.

Highlights

- Boliden's (BOL) Q2 2023 revenue fell 14% Y/Y dragged by the lower volumes and metal prices. Volumes were impacted by a series of disruptions, as communicated by BOL in June [lower grades at Mines division due to adjusted mining plan at Kevitsa and Tara being placed under care and maintenance, and a fire at Ronnskar]. We continue to expect revenue to be lower Y/Y for the full year 2023 due to a tough comparison base [particularly due to the elevated metal prices]. Besides the latest disruptions, lower grades at other mines, such as Aitik, could also affect volume in our view.
- Q2 2023 operating profit [excluding revaluation of process inventory] fell 82% Y/Y on lower revenue and higher costs. BOL said the fire at Ronnskar led to a write-down of property and reservation for clean up totaling SEK163 million in Q2 and estimated an additional negative SEK400 million impact on EBIT due to business interruption and increased internal concentrate inventory. Similarly, we see lower operating profit in 2023 against a tough comparison base, coupled with the disruptions mentioned above.
- We adjust our 2023 EPS estimate to SEK27.50 (from SEK39) and 2024 estimate to SEK31 (from SEK38) in view of the latest result.

Investment Rationale/Risk

- Our call is 2-STARs [Sell] as we view the stock to be fully valued at current level. We see lower earnings in 2023 on the back of lower metal prices [zinc and copper prices fell 19% and 5% Q/Q respectively in Q2, held back by the growing concern over global economic growth], coupled with tougher comparison base due to the strong prices in early 2022. In addition, BOL also continues to guide for lower grades at several mines, with Aitik mine entering low grade period [lower grade than reserve average for several years, likely until ~2026]. Further, the latest series of disruptions [e.g., conveyor belt disruptions at Aitik in Q1, fire at Ronnskar in Q2] also create earnings uncertainty in our view, with Q2 2023 results missing S&P Capital IQ consensus estimates [despite already being lowered in June following profit warning by BOL].
- Upside risks to our opinion and target price include higher-than-expected metal prices, better-than-expected volumes [improvement in grades], and currency tailwinds.
- Our 12-month target price of SEK285 implies an EV/EBITDA multiple of 5x, largely in line with its historical mean.

Analyst's Risk Assessment

LOW **MEDIUM** **HIGH**

Our risk assessment reflects the company's exposure to volatile commodity prices and currencies, offset by the low leverage profile.

Revenue/Earnings Data

Revenue (Million SEK)	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 80,006
2023	19,962	18,442	--	--	E 76,929
2022	21,812	21,568	19,480	23,577	86,437
2021	17,083	17,891	15,906	17,756	68,636
2020	13,210	13,391	13,550	16,170	56,321
2019	13,047	12,747	11,170	12,972	49,936

Earnings Per Share (SEK)

	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 31.00
2023	9.29	1.90	--	--	E 27.50
2022	14.51	11.54	9.90	9.42	45.37
2021	7.96	8.00	6.57	9.27	31.81
2020	3.90	4.92	7.44	8.60	24.86
2019	6.91	4.13	5.14	4.97	21.15

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [SEK]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
15.0000	Feb 14	Apr 26	Apr 27	May 03 '23
15.5000	--	May 11	May 12	Jun 13 '22
10.5000	Feb 11	Apr 29	May 02	May 05 '22
6.0000	Feb 12	May 06	May 07	May 31 '21
8.2500	Feb 12	Apr 28	Apr 29	May 04 '21
7.0000	Feb 13	Apr 29	Apr 30	May 06 '20

Dividends have been paid since 2004 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Boliden AB (publ)

Business Summary Jun 16, 2023

COMPANY OVERVIEW: Boliden's (BOL) operations involve the mining and production of metals. The company operates in both of the metal market's subsidiary markets; selling raw materials from mines to smelters, and selling metals primarily to industrial customers. BOL is organized into two segments; Business Area Mines [61% of 2022 operating profit excluding revaluation of process inventory] and Business Area Smelters [39%].

(i) Business Area Mines: BOL has five mines in Sweden [Aitik, the Boliden Area, and Garpenberg], Ireland [Tara], and Finland [Kevitsa]. BOL is the fifth largest zinc mining company in the world [behind Glencore, Hindustan Zinc, Teck, and Nexa Resources] and a minor operator in the global copper mining industry. The Business Area comprises the operations of: [1] Aitik [Sweden's biggest copper mine with ore that contains copper, gold, and silver]; [2] the Boliden Area, which consists of the underground mines Renstrom, Kristineberg, and Kankberg. Gold ore is mined in Kankberg with the by-product tellurium. In the other mines, the ores contain zinc, copper, lead, gold, and silver; [3] Garpenberg mine [zinc, silver, lead, copper, and gold]; [4] Tara mine [Europe's largest zinc mine, and lead is also extracted as a by-product]; and [5] Kevitsa mine [nickel, copper, gold, platinum, palladium, and cobalt].

(ii) Business Area Smelters: BOL has five smelters in Finland, Norway, and Sweden. BOL is the 6th largest zinc smelter company in the world and the 20th largest copper smelting company in the world. The Business Area includes the zinc smelters Kokkola in Finland and Odda in Norway, the copper smelters Ronnskar in Sweden and Harjavalta in Finland, and the lead smelter Bergsoe in Sweden. The Business Area is responsible for all sales of the smelters' products and handles all raw material flows between the Group's mines, smelters, and customers. This includes the responsibility for purchases of metal concentrates and recycling materials from external suppliers. The copper smelters also recycle metal and electronic scrap and smelt nickel. The Bergsoe lead smelter recycles lead metal, mainly from scrap car batteries.

FINANCIAL TARGET: BOL set the following financial targets: (i) minimum return on investments of 10% -- BOL achieved an average return of 16% per year during the period 2015-2019; (ii) net debt to equity ratio of 20% in an economic upturn; (iii) dividend equivalent to one-third of the net profit for the year.

FINANCIAL TRENDS: BOL's operating profit grew at a 5-year CAGR of 12% over the 2018-2022 period. Operating profit was rather flat in 2018 and declined in 2019 due to the lower volumes and metal prices, before improving from 2020 and 2022 largely on higher metal prices. In terms of leverage profile, BOL managed to reduce the net debt to equity ratio to below 20% since 2017 from 20%-40% level historically, and closed 2022 in a net cash position. Dividend payout ratios have been stable at 33%-34% over the past five years, in line with BOL's policy to pay dividend of approximately one-third of net profit.

Corporate information

Investor contact
O. Grenmark [46 86 10 15 00]

Office
Klarabergsviadukten 90, P.O. Box 44, Stockholm, Stockholm County, 101 20

Telephone
46 86 10 15 00

Fax
46 86 54 80 90

Website
www.boliden.com

Officers	
Independent Chairman of the Board	Executive VP & CFO
K. Sundstrom	H. Gabrielsson

President & CEO
M. Staffas

Board Members	
A. Martensson	P. C. Rudengren
E. Nilsson	P. Lindberg
E. Soderlund	P. Louhiluoto
H. Bistrom	R. Allzen
J. Johansson	T. Eliasson
K. Sundstrom	T. Popponen
O. Holmström	

Domicile	Auditor
Sweden	Deloitte & Touche LLP

Founded
1924

Employees
6,146

Stockholders
N/A

Boliden AB (publ)

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5	2022	2021	2020	2019	
		LOWEST				HIGHEST	Price/Sales	1.24	1.39	1.42	1.36
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].									
Fair Value Calculation	N/A										
Volatility	NA	LOW		AVERAGE		HIGH					
Technical Evaluation	NEUTRAL	Since March, 2023, the technical indicators for BOL SS have been NEUTRAL "									
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE						
Key Growth Rates and Averages											
Past Growth Rate [%]								1 Year	3 Years	5 Years	
Net Income								42.63	28.96	12.61	
Sales								25.94	20.07	11.78	
Ratio Analysis (Annual Avg.)											
Net Margin [%]								14.36	13.04	12.88	
% LT Debt to Capitalization								15.30	12.43	10.33	
Return on Equity [%]								22.73	18.80	18.04	

Company Financials Fiscal year ending Dec 31											
Per Share Data (SEK)		2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value		200.93	173.33	154.44	138.59	129.83	115.68	94.98	82.39	75.20	73.00
Free Cash Flow		23.29	26.16	18.12	2.25	20.58	26.11	10.99	12.84	12.90	-0.81
Earnings		45.37	31.81	24.86	21.15	26.32	25.06	15.49	9.65	6.94	4.72
Earnings (Normalized)		45.37	31.81	24.86	21.15	26.32	25.36	14.75	9.78	6.94	4.72
Dividends		15.00	10.50	8.25	7.00	8.75	8.25	5.25	3.25	2.25	1.75
Payout Ratio (%)		23.14	25.94	28.17	41.38	31.34	20.95	20.98	23.30	25.24	84.74
Prices: High		514.60	362.20	302.20	291.70	328.40	307.90	258.20	201.10	129.90	126.70
Prices: Low		298.65	268.60	137.15	181.52	187.80	222.70	100.00	112.10	90.70	80.15
P/E Ratio: High		11.30	11.40	12.20	13.80	12.50	12.10	17.50	20.60	18.70	26.80
P/E Ratio: Low		6.60	8.40	5.50	8.60	7.10	8.80	6.80	11.50	13.10	17.00
Income Statement Analysis (Million SEK)											
Revenue		86,437	68,636	56,321	49,936	52,454	49,531	40,316	40,242	36,891	34,409
Operating Income		15,352	10,733	8,578	7,249	8,732	8,853	5,516	3,500	2,683	1,708
Depreciation + Amortization		6,131	5,596	5,683	5,077	4,897	4,561	4,165	3,498	3,266	2,823
Interest Expense		251.00	118.00	117.00	131.00	123.00	165.00	115.00	120.00	137.00	105.00
Pretax Income		15,602	10,840	8,668	7,336	8,763	8,737	5,375	3,356	2,472	1,582
Effective Tax Rate		20.50	19.70	21.50	21.10	17.80	21.50	21.10	21.30	23.10	18.20
Net Income		12,410	8,701	6,799	5,786	7,198	6,854	4,237	2,640	1,898	1,291
Net Income (Normalized)		9,726	6,754	5,316	4,561	5,458	5,454	3,345	2,087	1,543	973.20
Balance Sheet and Other Financial Data (Million SEK)											
Cash		12,159	8,251	5,060	1,373	2,272	2,510	1,503	923.00	865.00	611.00
Current Assets		39,926	30,358	24,842	18,514	15,975	15,836	15,016	11,102	11,570	11,164
Total Assets		96,376	80,549	72,492	66,424	58,727	55,882	53,877	43,022	43,865	41,841
Current Liabilities		15,832	12,445	11,398	12,369	8,767	9,880	9,646	8,875	8,823	9,005
Long Term Debt		10,639	5,993	5,951	3,261	3,145	4,003	8,187	2,484	4,819	4,350
Total Capital		69,517	57,043	51,792	47,212	42,374	40,395	39,495	31,484	31,658	31,382
Capital Expenditures		9,970	5,957	6,256	8,790	6,105	5,575	3,975	2,705	2,252	3,710
Cash from Operations		16,398	13,144	11,255	9,442	11,768	12,737	6,995	6,235	5,789	3,505
Current Ratio		2.52	2.44	2.18	1.50	1.82	1.60	1.56	1.25	1.31	1.24
% Long Term Debt of Capitalization		15.30	10.50	11.50	6.90	7.40	9.90	20.70	7.90	15.20	13.90
% Net Income of Revenue		14.40	12.70	12.10	11.60	13.70	13.80	10.50	6.60	5.10	3.80
% Return on Assets		10.85	8.77	7.72	7.24	9.52	10.08	7.12	5.04	3.91	2.61
% Return on Equity		22.70	18.00	15.60	14.40	19.40	21.30	15.40	10.60	8.10	5.70

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Boliden AB (publ)

Industry Outlook

We have an underweight view on EMEA Materials as industries face the effects of high interest rates and slower macroeconomic development in 2023. This follows the period of high inflation in 2022, though the Materials companies themselves have been able to pass on high cost prices down the supply chain. Prices have eased in 2023 as we expected, but volumes are not recovering as quickly due to the weaker macroeconomic conditions. For the end of 2023, we see some increase in prices, though volumes will remain lower.

The S&P Europe 350 Materials Index has underperformed the market in 2023 up to August 2023, down 0.9% vs. an 8.2% increase in the broader S&P Europe 350 Index during the same period.

For the Metals & Mining sub-sector, the growing concern over global economic growth remains a key risk to earnings in the short-term in our view – Global Copper Users PMI and Global Steel Users PMI improved slightly in August vs. July. However, this was solely driven by Asia as the U.S. saw a renewed deterioration in operating conditions while Europe declined further. We note ArcelorMittal (one of the largest steel producers) also lowered its forecast for global ex-China apparent steel demand growth in July to reflect the weaknesses in the U.S. and Europe markets (weakness in long products demand due to weak construction activity).

For the Construction Materials sub-sector, we expect growth to continue to be supported by infrastructure spending in the U.S. and, to a lesser extent, in Europe. However, other segments of construction will continue to be weak, as evident by the Eurozone construction PMI not having been in expansionary territory since April 2022. The weaker macroeconomic conditions make further recovery more questionable, in our opinion.

For the Chemical sub-sector, we continue to see growth recovery, particularly for the companies that are exposed to industries that have undergone major destocking in 2022, as volume growth outweighs pricing declines.

Overall, we are underweight on the industry due to the weaker macroeconomic condition despite the breadth of its end markets.

/ Adrian Ng, CFA

Sub-Industry: Diversified Metals and Mining Peer Group*: Diversified Metals and Mining

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Boliden AB (publ)	BOL SS	OM	SEK	307.95	84,596.0	4.2	-15.0	10.0	N/A	4.9	15.6	16.2
Anglo American	AAL LN	LSE	USD	22.42	27,345.0	6.8	-15.4	9.0	N/A	4.6	9.2	29.2
Antofagasta	ANTO LN	LSE	USD	13.97	13,700.0	-2.7	30.0	25.0	N/A	3.6	18.8	16.9
Glencore Plc	GLEN LN	LSE	USD	4.56	55,998.0	5.6	-6.6	6.0	N/A	7.6	20.3	27.1
Rio Tinto Plc	RIO LN	LSE	USD	50.73	85,482.0	1.8	4.0	10.0	N/A	6.4	15.5	18.8

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA- Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Boliden AB (publ)**Analyst Research Notes and other Company News****July 21, 2023**

01:28 AM ET... CFRA Maintains Sell Opinion on Shares of Boliden AB (BOL SS 285.90**):

We lower our target price for Boliden (BOL) to SEK285 from SEK320 as we trim our estimates to account for the weak Q2 2023 result. This implies an EV/EBITDA multiple of 5x, largely in line with its historical average. Q2 2023 result missed our and S&P Capital IQ consensus estimates [which had been lowered in June following profit warning by BOL], with operating profit [excluding revaluation of process inventory] falling 82% Y/Y on lower volumes, lower metal prices, and higher costs. Volumes were impacted by lower grades at Mines division as well as the fire at Ronnskar. We adjust our 2023 EPS estimate to SEK27.50 [from SEK36] and 2024 estimate to SEK31 [SEK36.80] in view of the latest result. We continue to see earnings to be lower in 2023 due to the series of disruptions at certain operations, including lower grades at Kevitsa and Tara mine being placed under care and maintenance, coupled with the tough comparison base [mainly due to the elevated metal prices in early 2022]. Maintain Sell. / Wan Nurhayati, CFA

June 15, 2023

06:02 AM ET... CFRA Keep Sell Opinion on Shares of Boliden AB (BOL SS 324.20**): We lower our target price for Boliden (BOL) to SEK320 from SEK360 as we trim our estimates to reflect the latest series of disruptions at certain operations. This implies an EV/EBITDA of 4.6x our 2023 EBITDA estimate, largely in line with its historical average. BOL expects a negative impact of SEK700 million to EBIT in Q2 2023 due to the disruptions at Ronnskar [halted production after a fire outbreak] and lower grades than previously communicated at Kevitsa [due to the adjusted mining plan] and Tara [placed under care and maintenance until further notice given the weak operating condition]. As a result, we trim our EPS estimates to SEK36 [from SEK39] for 2023 and to SEK36.80 [from SEK38] for 2024. Besides the latest update, lower grades at other mines, such as Aitik [as previously guided by BOL with the mine entering low grade period], could affect volume, in our view. Maintain Sell. / Wan Nurhayati, CFA

April 26, 2023

02:16 AM ET... CFRA Keeps Sell Opinion on Shares of Boliden AB (BOL SS 366.60**): We keep our Sell opinion on Boliden (BOL) with the same target price of SEK360 as we view the valuation to be fully valued at current level. The target price implies an EV/EBITDA of 5x our 2023 EBITDA estimate, in line with its historical mean. BOL's Q1 2023 result missed S&P Capital IQ consensus estimates as volumes were hit by production disruptions at several mines. The lower volumes, along with lower metal prices and higher costs, led to a 32% Y/Y decline in operating profit [excluding revaluation of process inventory] in Q1 2023. We adjust our 2023 EPS estimate to SEK39 [from SEK40] and 2024 estimate to SEK38 [from SEK39] in view of the latest result. We continue to see earnings to be lower in 2023 against a tough comparison base [mainly due to the elevated metal prices in early 2022]. BOL also continues to guide for lower grades at some mines, which could affect volume in our view, with Aitik mine entering low grade period [lower grade than reserve average for several years, likely until ~2026]. / Wan Nurhayati, CFA

February 15, 2023

11:22 PM ET... CFRA Keeps Sell Opinion on Shares of Boliden AB (BOL SS 435.45**): We adjust our target price for Boliden to SEK360 from SEK320, implying an EV/EBITDA of 5x our 2023 EBITDA estimate, in line with its historical mean. Operating profit [excluding revaluation of process inventory] grew 13% Y/Y in Q4 2022, mainly on stronger USD but was 8% lower than Q3 2022 impacted by higher costs. By segments, the better performance in Smelters mitigated the weaker result in Mines [volume impacted by lower grades]. Boliden closed the year in a net cash position is positive and the company proposed a total payment of SEK26.50 per share [which includes an extra payment of SEK11.50 per share through an automatic share redemption procedure]. For 2023, Boliden continues to guide for lower grades at some mines which could affect volume, with Aitik mine entering low grade period. We adjust our 2023 EPS estimate to SEK40 [from SEK34] and introduce our 2024 estimate of SEK39. We keep our Sell opinion as we view the valuation to be fully valued at current level. / Wan Nurhayati, CFA

October 21, 2022

12:21 AM ET... CFRA Keeps Sell Opinion on Shares of Boliden AB (BOL SS 330.10**): We keep our Sell opinion on Boliden (BOL) with the same target price of SEK320, implying an EV/EBITDA of 4.9x of our 2023 EBITDA estimate, below its 3-year mean

of 5.3x, justified in our view to reflect the rising macro uncertainty. Operating profit [excluding revaluation of process inventory] grew 44% Y/Y to SEK3.5 billion in Q3 2022 on stronger USD, higher by-product prices, and higher metal premiums. However, this was 23% lower than Q2 2022 as prices for BOL's main metals continued to be hit by the increasing uncertainty over global economic growth [prices for zinc, copper, and nickel fell by 16% to 24% Q/Q]. We keep our EPS estimates at SEK42.40 for 2022 and SEK34.00 for 2023 as we continue to be cautious on the increasing cost inflation pressure and softer metal prices ahead amid current global economic uncertainty. / Wan Nurhayati, CFA

July 22, 2022

04:54 AM ET... CFRA Keeps Sell Opinion on Shares of Boliden AB (BOL SS 310.65**): We keep our Sell opinion on Boliden (BOL) with a lower target price of SEK320 [from SEK390], implying an EV/EBITDA of 4.5x of our 2022 EBITDA estimate, largely in line with its historical averages. Operating profit [excluding revaluation of process inventory] surged 73% Y/Y to SEK4.5 billion in Q2 2022 on higher metal prices but only grew 1% vs. Q1 2022 as prices for BOL's main metals fell significantly towards the end of the June 2022 quarter, impacted by the increasing uncertainty over global economic growth. BOL also flagged the inflationary pressure and estimates operating expenses excluding personnel costs to be 15% Y/Y higher in H2 2022. We adjust our EPS estimates to SEK42.40 from SEK43 for 2022 and to SEK34 from SEK35.60 for 2023 in view of the increasing cost inflation pressure and uncertainty over the weaker metal prices in H2 2022 [particularly against Q1 2022]. / Wan Nurhayati, CFA

April 29, 2022

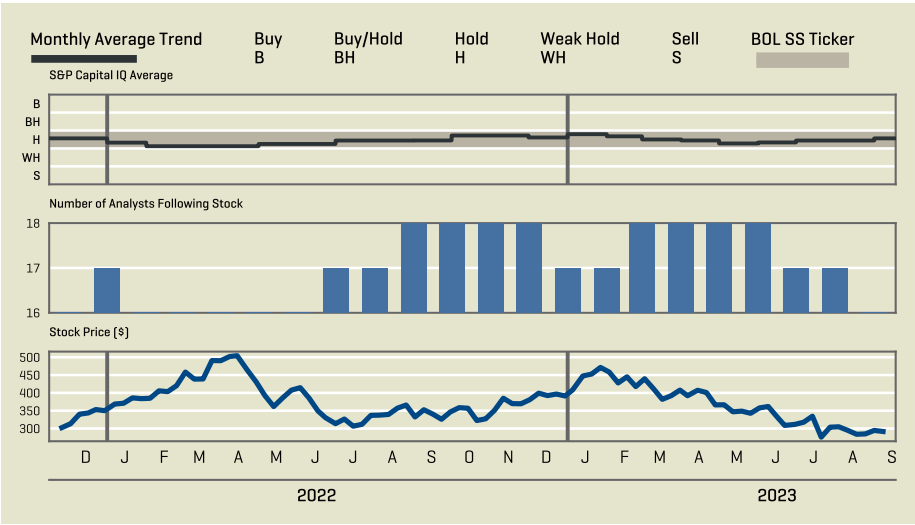
05:41 AM ET... CFRA Lowers Opinion on Shares of Boliden AB to Sell from Hold (BOL SS 425.20**):

We lower our opinion on Boliden (BOL) to Sell from Hold as we find the stock to be fully valued at current level. We adjust our target price to SEK390 from SEK380 as we raise our EPS estimates to SEK43.00 [SEK33.10] for 2022 and to SEK35.60 [SEK32.10] for 2023 to account for the recent surge in metal prices. The target price implies an EV/EBITDA of 5.0x our 2022 EBITDA estimate, largely in line with its historical average. Operating profit [excluding revaluation of process inventory] surged by 82% Y/Y in Q1 2022, mainly lifted by the elevated metal prices including nickel, which rose sharply due to the outbreak of the war in Ukraine. The rise in metal prices has so far managed to offset the higher costs especially energy and consumables. Overall, we expect earnings in 2022 to be supported by the higher metal prices, although we continue to be cautious on the expectation of lower grades [BOL guides for lower grades at some mines in 2022 including Aitik] as well as the increasing cost inflation pressure. / Wan Nurhayati, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Boliden AB (publ)

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	3	19	3	2
Buy/Hold	1	6	1	1
Hold	9	56	8	10
Weak hold	2	13	2	2
Sell	1	6	2	2
No Opinion	0	0	0	0
Total	16	100	16	17

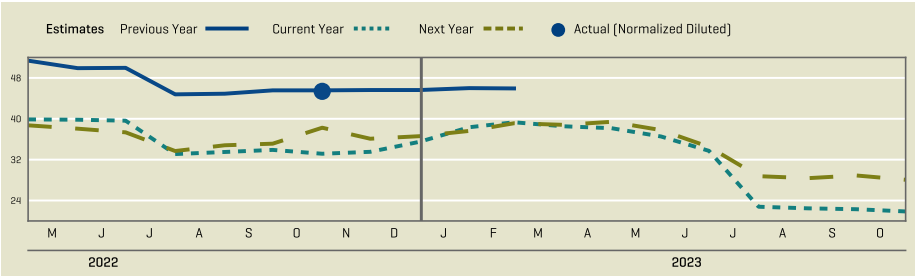
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that BOL SS will earn SEK 21.85. For fiscal year 2024, analysts estimate that BOL SS's earnings per share will grow by 28.39% to SEK 28.06.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	28.06	40.90	19.42	13	10.98
2023	21.85	24.06	18.92	13	14.09
2024 vs. 2023	▲ 28%	▲ 70%	▲ 3%	N/A%	▼ -22%
Q3'24	5.84	7.56	4.12	2	52.75
Q3'23	5.00	6.90	3.52	7	61.59
Q3'24 vs. Q3'23	▲ 17%	▲ 10%	▲ 17%	▼ -71%	▼ -14%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Boliden AB (publ)

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Boliden AB (publ)

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

STARS Stock Reports and Quantitative Stock Reports:

The methodologies used in STARS Stock Reports and Quantitative Stock Reports [collectively, the "Research Reports"] reflect different criteria, assumptions and analytical methods and may have differing rankings. The methodologies and data used to generate the different types of Research Reports are believed by the author and distributor reasonable and appropriate. Generally, CFRA does not generate reports with different ranking methodologies for the same issuer. However, in the event that different methodologies or data are used on the analysis of an issuer, the methodologies may lead to different views on the issuer, which may at times result in contradicting assessments of an issuer. CFRA reserves the right to alter, replace or vary models, methodologies or assumptions from time to time and without notice to clients.

STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

STARS Stock Reports are prepared by the equity research analysts of CFRA and its affiliates and subsidiaries. Quantitative Stock Reports are prepared by CFRA. All of the views expressed in STARS Stock Reports accurately reflect the research analyst's personal views regarding any and all of the subject securities or issuers; all of the views expressed in the Quantitative Stock Reports accurately reflect the output of CFRA's algorithms and programs. Analysts generally update STARS Stock Reports at least four times each year. Quantitative Stock Reports are generally updated weekly. No part of analysts' or CFRA's compensation was, is, or will be directly or indirectly related to the specific rankings or views expressed in any Stock Report.

About CFRA Equity Research:

This Research Report is published and originally distributed by Accounting Research & Analytics, LLC d/b/a CFRA ["CFRA US"], with the following exceptions: In the UK/EU/EEA, it is published and originally distributed by CFRA UK Limited ["CFRA UK"], which is regulated by the Financial Conduct Authority [No. 775151], and in Malaysia by CFRA MY Sdn Bhd [Company No. 683377-A] ["CFRA Malaysia"], which is regulated by Securities Commission Malaysia, [No. CMSL/A0181/2007] under license from CFRA US. These parties and their subsidiaries maintain no responsibility for reports redistributed by third parties such as brokers or financial advisors.

General Disclosure

Notice to all jurisdictions:

Where Research Reports are made available in a language other than English and in the case of inconsistencies between the English and translated versions of a Research Report, the English version will control and supersede any ambiguities between such versions. Neither CFRA nor its affiliates guarantee the accuracy of any translation.

The content of this report and the opinions expressed herein are those of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. CFRA AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes.

No content in this Research Report may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, or used for any unlawful or unauthorized purposes. Neither CFRA nor its third-party providers, as well as its/their directors, officers, shareholders, employees or agents, guarantee the accuracy, completeness, timeliness or availability of the content herein

Past performance is not necessarily indicative of future results.

This document may contain forward-looking statements or forecasts; such forecasts are

not a reliable indicator of future performance.

This report is not intended to, and does not, constitute an offer or solicitation to buy and sell securities or engage in any investment activity. This report is for informational purposes only. Statements in this report are not made with respect to any particular investor or type of investor. Securities, financial instruments or strategies mentioned herein may not be suitable for all investors and this material is not intended for any specific investor and does not take into account an investor's particular investment objectives, financial situations or needs. Before acting on anything in this report, you should consider whether it is suitable for your particular circumstances and, if necessary, seek professional advice. CFRA may license certain intellectual property or provide services to, or otherwise have a business relationship with, certain issuers of securities that are the subject of CFRA research reports, including exchange-traded investments whose investment objective is to substantially replicate the returns of a proprietary index of CFRA. In cases where CFRA is paid fees that are tied to the amount of assets invested in a fund or the volume of trading activity in a fund, investment in the fund may result in CFRA receiving compensation in addition to the subscription fees or other compensation for services rendered by CFRA, however, no part of CFRA's compensation for services is tied to any particular viewpoint or rating. Additional information on a subject company may be available upon request.

CFRA's financial data provider is S&P Global Market Intelligence. THIS DOCUMENT CONTAINS COPYRIGHTED AND TRADE SECRET MATERIAL DISTRIBUTED UNDER LICENSE FROM S&P GLOBAL MARKET INTELLIGENCE. FOR RECIPIENT'S INTERNAL USE ONLY.

The Global Industry Classification Standard [GICS®] was developed by and/or is the exclusive property of MSCI, Inc. and S&P Global Market Intelligence. GICS is a service mark of MSCI and S&P Global Market Intelligence and has been licensed for use by CFRA.

Other Disclaimers and Notices

Certain information in this report is provided by S&P Global, Inc. and/or its affiliates and subsidiaries [collectively "S&P Global"]. Such information is subject to the following disclaimers and notices: "Copyright © 2018, S&P Global Market Intelligence [and its affiliates as applicable]. All rights reserved. Nothing contained herein is investment advice and a reference to a particular investment or security, a credit rating or any observation concerning a security or investment provided by S&P Global is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. This may contain information obtained from third parties, including ratings from credit ratings agencies. Reproduction and distribution of S&P Global's information and third party content in any form is prohibited except with the prior written permission of S&P Global or the related third party, as applicable. Neither S&P Global nor its third party providers guarantee the accuracy, completeness, timeliness or availability of any information, including ratings, and are not responsible for any errors or omissions [negligent or otherwise], regardless of the cause, or for the results obtained from the use of such information or content. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS GIVE NO EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE AND ALL S&P INFORMATION IS PROVIDED ON AN AS-IS BASIS. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS SHALL NOT BE LIABLE FOR ANY DIRECT, INDIRECT, INCIDENTAL, EXEMPLARY, COMPENSATORY, PUNITIVE, SPECIAL OR CONSEQUENTIAL DAMAGES, COSTS, EXPENSES, LEGAL FEES, OR LOSSES [INCLUDING LOST INCOME OR PROFITS AND OPPORTUNITY COSTS OR LOSSES CAUSED BY NEGLIGENCE] IN CONNECTION WITH ANY USE OF THEIR INFORMATION OR CONTENT, INCLUDING RATINGS. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice."

Boliden AB (publ)

CFRA's Research Reports may be distributed in certain localities, countries and/or jurisdictions by independent third parties or independent intermediaries and/or distributors ("Intermediaries"). Intermediaries are not acting as agents or representatives of CFRA. In territories where an Intermediary distributes CFRA's Research Reports, the Intermediary, and not CFRA, is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes and guidelines established by local and/or regional regulatory authorities, including laws in connection with the distribution of third party research reports, licensing requirements, supervisory and record keeping obligations that the Intermediary may have under the applicable laws and regulations of the territories where it distributes the Research Reports.

For residents of the European Union/European Economic Area:

Research reports are originally distributed by CFRA UK Limited (company number 08456139 registered in England & Wales with its registered office address at New Derwent House, 69-73 Theobalds Road, London, WC1X 8TA, United Kingdom). CFRA UK Limited is regulated by the UK Financial Conduct Authority (No. 775151).

For residents of Malaysia:

Research reports are originally produced and distributed by CFRA MY Sdn Bhd (Company No. 683377-A) ("CFRA Malaysia"), a wholly-owned subsidiary of CFRA US. CFRA Malaysia is regulated by Securities Commission Malaysia (License No. CMSL/A0181/2007).

For Recipients in Canada:

This report is not prepared subject to Canadian disclosure requirements and may not be suitable for Canadian investors.

For residents of Singapore:

This Research Report is distributed by CFRA UK Limited to its clients in Singapore who hold a financial advisers licence or is a person exempt from holding such licence ("SG Intermediary"). Recipients of this Research Report in Singapore should contact the SG Intermediary in respect to any matters arising from, or in connection with, the analysis in this report. Where the recipient is not an accredited, expert or institutional investor as defined by the Securities and Futures Act, the SG Intermediary accepts legal responsibility for the contents of this Research Report in accordance with applicable law. When reports are distributed by SG Intermediaries in Singapore, the SG Intermediary, and not CFRA, is solely responsible for ensuring that the recipients of the Research Reports understand the information contained in the Research Reports and that such information is suitable based on the customer's profile and investment objectives. This Research Report is intended for general circulation and no advice or recommendation is made herein or by CFRA to any particular person. CFRA does not assume any responsibility to advise on whether any particular product is suitable for any person, and the analysis herein does not take into account the specific investment objectives, financial situation or particular needs of any particular person, and should not be relied upon for any investment decision.

For residents of all other countries:

Research reports are originally distributed Accounting Research & Analytics, LLC d/b/a CFRA.

Copyright © 2023 CFRA. All rights reserved. CFRA and STARS are registered trademarks of CFRA.

EFG Disclaimer

The attached document is produced for it to be used by entities, including affiliates and branches, of EFG International AG. The information herein is provided on the basis that it is a suitable investment for the recipient taking into account the recipient's personal circumstances and should therefore be considered as a personal recommendation. Tax implications should be nevertheless independently assessed by the recipient with a tax advisor before entering into any transaction.

The information provided herein is for the exclusive use of the recipient and may not be reproduced, disclosed or distributed, neither in part nor in full.

Investment products may be subject to investment risks involving, but not limited to, possible loss of all or part of the principal invested.

The information and views expressed herein at the time of writing are subject to change at any time without notice and there is no obligation to update or remove outdated information. Historical data on the performance of the securities and financial instruments or the underlying assets in this document is no indication for future performance and the value of investments may fall as well as rise. This document is not directed at, or intended for distribution to or use by, any person or entity domiciled or resident in any jurisdiction where such distribution, publication, availability or use would be contrary to applicable laws or regulations of such jurisdictions.

EFG and its employees may engage in securities transactions, on a proprietary basis or otherwise and hold long or short positions with regard to the instruments identified herein; such transactions or positions may be inconsistent with the views expressed in the document.

If you have received this document from any affiliate or branch referred to below, please note the following:

Switzerland: EFG Bank AG, Zurich, including its Geneva and Lugano branches, is authorised and regulated by the FINMA. Registered Office: EFG Bank AG, Bleicherweg 8, 8001 Zurich, Switzerland. Registered Swiss Branches: EFG Bank SA, 24 quai du Seujet, 1211 Geneva 2, and EFG Bank SA, Via Magatti 2, 6900 Lugano.

The information provided in this document is not the result of a financial research conducted by the Bank's research department. Therefore, the "Directive on the Independence of Financial Research" issued by the Swiss Banking Association does not apply to it. As the document is not intended to be exhaustive on all risks related to financial instruments, the recipient should consult the specific product documentation and the June 2023 "Risks Involved in Trading Financial Instruments" brochure released by the Swiss Bankers Association and available on the Swiss Bankers Association website:

<https://www.swissbanking.org/en/services/library/guidelines> or free of charge from EFG Bank AG.

Luxembourg: EFG Bank (Luxembourg) S.A. is authorised by the Ministry of Finance Luxembourg and supervised by the Commission de Surveillance du Secteur Financier (CSSF). EFG Bank (Luxembourg) S.A. is Member of the Deposit Guarantee Fund Luxembourg (F.G.D.L. - Fonds de Garantie des Dépôts Luxembourg) and Member of the Luxembourg Investor Compensation Scheme (S.I.I.L. - Système d'Indemnisation des Investisseurs Luxembourg). R.C.S. Luxembourg no. B113375. Registered address: EFG Bank (Luxembourg) S.A. - 56, Grand-Rue, L-1660 Luxembourg.

Portugal: EFG Bank (Luxembourg) S.A. - Sucursal em Portugal is authorised and supervised by Banco de Portugal (register 280) and the CMVM, the Portuguese securities market commission, (register 393) for the provision of financial advisory and reception and transmission of orders. EFG Bank (Luxembourg) S.A. - Sucursal em Portugal is a non-booking branch of EFG Bank (Luxembourg) S.A., a public limited liability company incorporated under the laws of the Grand Duchy of Luxembourg, authorised and supervised by the CSSF (Commission de Surveillance du Secteur Financier). Lisbon Head Office: Avenida da Liberdade n.º 131 - 6º Dto., 1250 - 140 Lisboa. Porto agency: Avenida da Boavista, n.º 1837 - Escritório 6.2, 4100-133 Porto. Companies Registry Number: 980649439.

Greece: EFG Bank (Luxembourg) S.A., Athens Branch is an non-booking establishment of EFG Bank (Luxembourg) S.A. which is authorised to promote EFG Bank (Luxembourg) S.A.'s Greece: EFG Bank (Luxembourg) S.A., Athens Branch is an non-booking establishment of EFG Bank (Luxembourg) S.A. which is authorised to promote EFG Bank (Luxembourg) S.A.'s products and services based on the EU freedom of establishment pursuant to a license granted by the Luxembourg financial supervisory authority "CSSF". Registered address: 342 Kifisias Ave. & Ethnikis Antistaseos Str. - 154 51 N. Psychiko, General Commercial Registry no. 143057760001.

Liechtenstein: EFG Bank von Ernst AG is regulated by the Financial Market Authority Liechtenstein. Registered address: EFG Bank von Ernst AG Egertastrasse 10 - 9490 Vaduz, Liechtenstein.

Monaco: EFG Bank (Monaco) SAM is a Monegasque Public Limited Company with a company registration no. 90 S 02647 (Registre du Commerce et de l'Industrie de la Principauté de Monaco). EFG Bank (Monaco) SAM is a bank with financial activities authorised and regulated by the French Prudential Supervision and Resolution Authority and by the Monegasque Commission for the Control of Financial Activities. Registered address: EFG Bank (Monaco) SAM, Villa les Aigles, 15, avenue d'Ostende - BP 37 - 98001 Monaco (Principauté de Monaco), telephone: +377 93 15 11 11. The recipient of this document is perfectly fluent in English and waives the possibility to obtain a French version of this publication.

United Kingdom: EFG Private Bank Limited is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. EFG Private Bank Limited is a member of the London Stock Exchange. Registered company no. 2321802. Registered address: EFG Private Bank Limited, Park House, 116 Park Street, London W1K 6AP, United Kingdom, telephone +44 (0)20 7491 9111.

Dubai: EFG (Middle East) Limited is regulated by the DFSA. This material is intended "for professional clients only". Registered address: EFG (Middle East) Limited DIFC, Gate Precinct 5, 7th Floor PO Box 507245 - Dubai, UAE.